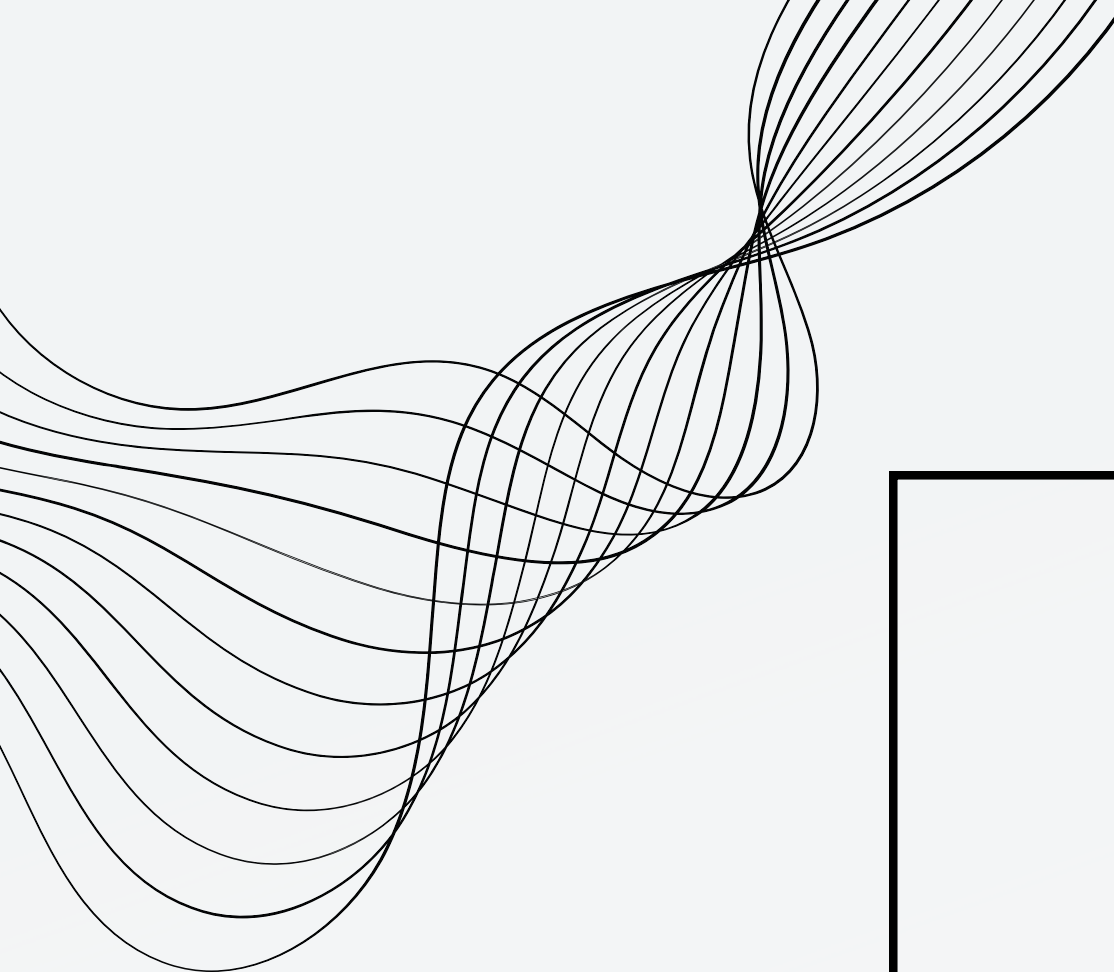




ADVANCE MARKET STRUCTURE & SMC

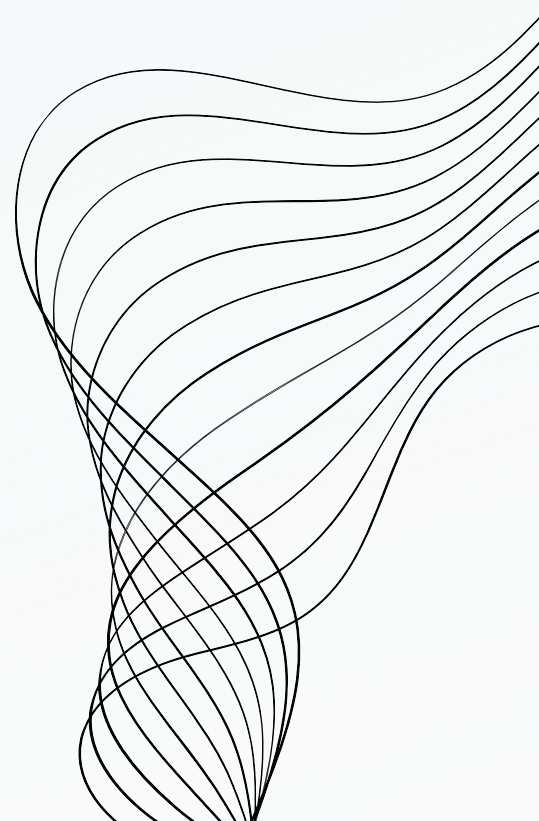
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4 YEARS EXPERIENCE



BASICS OF FOREX TRADING (PART 1)



Overview of Market

DEFINITION

MAJOR PARTICIPANTS

KEY FOREX MARKET SESSIONS

Basic of Currency Pairs

MAJOR MINOR & EXOTIC

BASIC OF CURRENCY PAIRS

BASE & QUOTE CURRENCY

PIPS & SPREAD

Mechanics of Forex Trading



FOREX BROKER

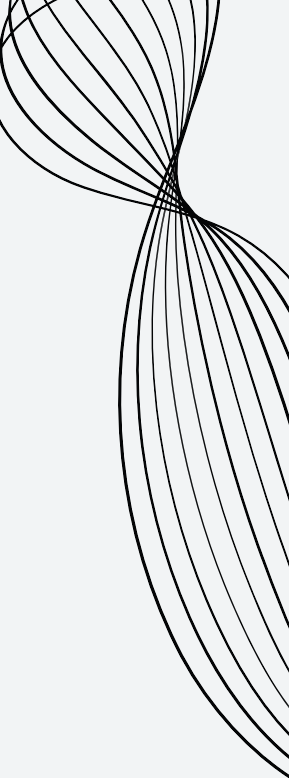
TRADING PLATFORM

ORDER TYPES

Definition of Forex Trading

- (Forex trading, or foreign exchange, trading, is the decentralized global marketplace for buying and selling currencies. In this financial market, participants, ranging from individual traders to large financial institutions, engage in the exchange of one currency for another with the aim of making a profit. The Forex market operates 24 hours a day, five days a week, and it is the largest and most liquid financial market in the world.
- (Traders aim to profit from the fluctuations in exchange rates.
- We make money in FX Trading by basic principle of Buying Cheaper and Selling at expensive rate

Major Participants



Banks:

Central Banks: Central banks are key players in the forex market as they formulate and implement monetary policies. They may intervene in the market to stabilize or influence their national currency's value.

Commercial Banks: Commercial banks engage in forex transactions for themselves and their clients. They facilitate currency trading, provide liquidity, and act as market makers.

financial Institutions:

Investment Banks: Investment banks participate in forex trading for speculative and hedging purposes. They also facilitate large transactions for institutional clients.

Hedge Funds: Hedge funds engage in forex trading to seek profit from currency price movements. They Often employ sophisticated trading strategies to generate returns.

Corporations:

Multinational corporations engage in forex markets to manage currency risk associated with international trade and business operations. They use the forex market to hedge against potential currency fluctuations.

Retail Traders:

Individual traders, known as retail traders, participate in the forex market through online brokers. They trade currencies for speculation or investment purposes, often using leverage to amplify their trading positions.



KEY MARKET SESSION



Forex Market Center	Time Zone	Opens	Closes	Status
Frankfurt Germany	Europe/Berlin			Closed
London Great Britain	Europe/London			Closed
New York United States	America/New_York			Closed
Sydney Australia	Australia/Sydney			Closed
Tokyo Japan	Asia/Tokyo			Closed

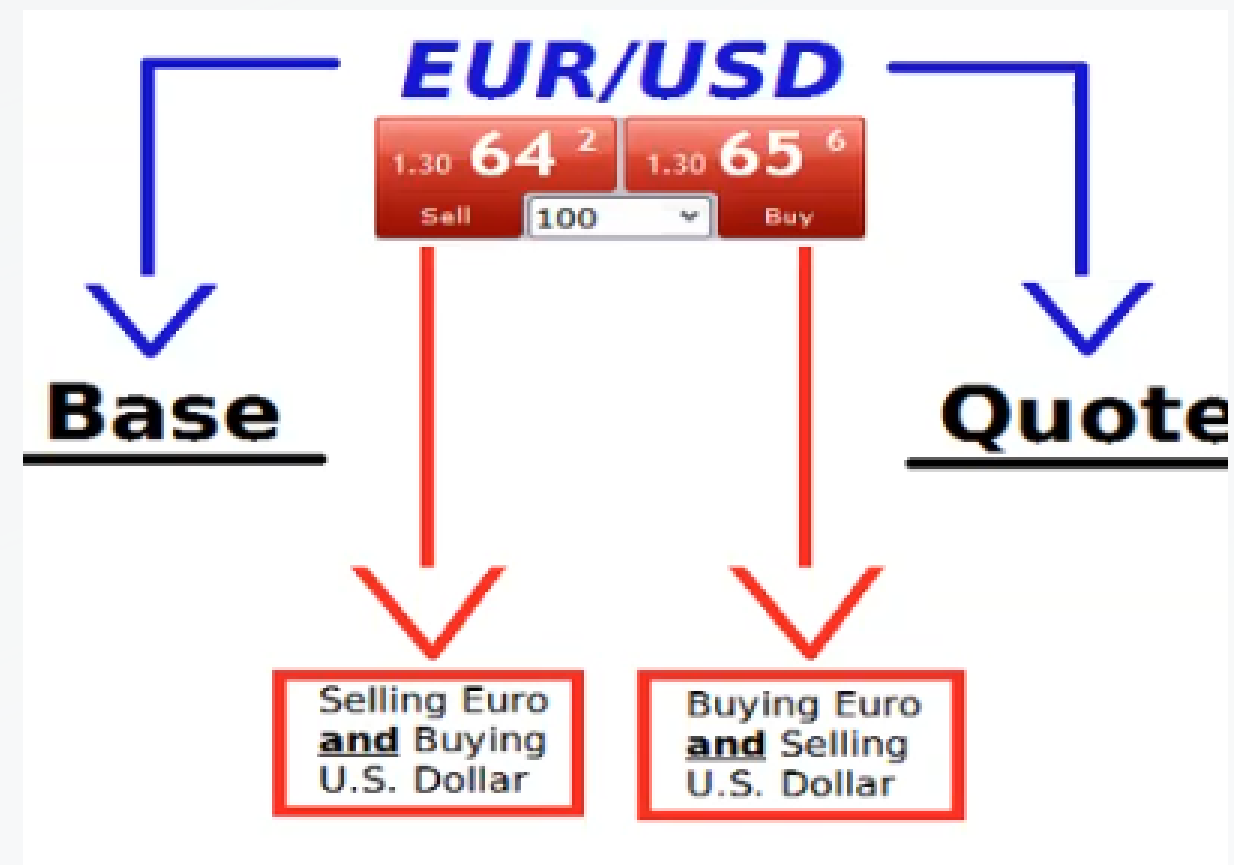
BASIC OF CURRENCY PAIRS

Currency Pair Definition:

A currency pair consists of two currencies quoted in relation to each other. The first currency in the pair is the base currency, and the second is the quote currency. The value of the currency pair shows how much of the quote currency is needed to purchase one unit of the base currency.

Base and Quote Currencies:

The base currency is the currency you are buying or selling, and the quote currency is the currency in which the transaction is quoted. For example, in the EUR/USD pair, the Euro (EUR) is the base currency, and the U.S. Dollar (USD) is the quote currency.



MAJOR ,MINOR ,EXOTIC

Major

Major currency includes USD(\$)

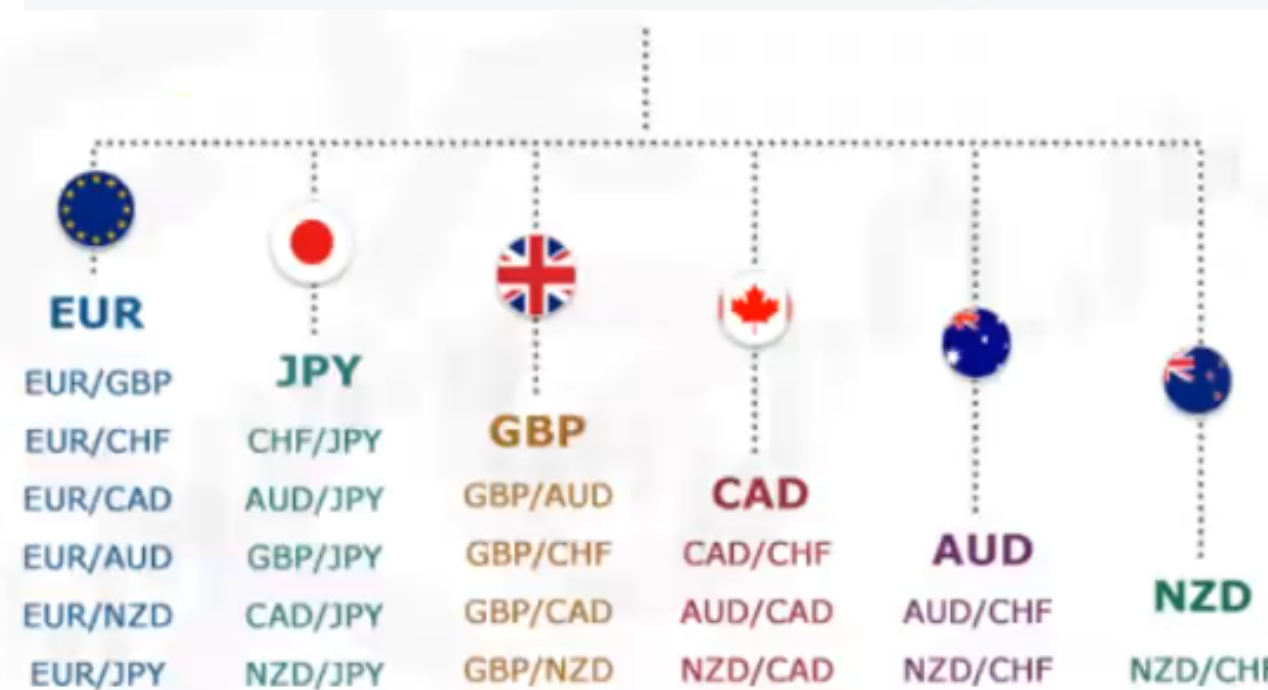
Minor

Currency which excludes USD are known as Minor Pairs

Exotic

Currency which has developed market qualities but does not fulfil all necessary standard

	EUR/USD	Euro Zone/United States
	GBP/USD	United Kingdom/United States
	USD/JPY	United States/Japan
	USD/CHF	United States/Switzerland
	USD/CAD	United States/Canada
	AUD/USD	Australia/United States
	NZD/USD	Newzealand/United States



What is PIP?

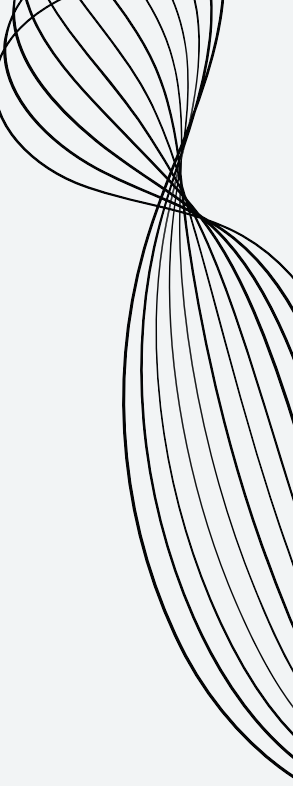
A "pip" stands for "percentage in point" or "price interest point" and is a standardized unit of movement in the exchange rate of a currency pair in the forex market. It is a measure of the change in value between two currencies.

Pips are typically used to express the price movements of currency pairs, especially for quoting exchange rates.

- In most currency pairs, the pip is the smallest price move that can be observed in the exchange rate. The majority of currency pairs are quoted to four decimal places, and in this context, a pip is usually the last decimal place.

For example:

- If the EUR/USD moves from 1.1200 to 1.1201, it has moved one pip.
 - If the USD/JPY moves from 110.50 to 110.51, it has also moved one pip.
-
- For currency pairs involving the Japanese Yen (JPY), which are quoted to two decimal places, a pip is typically the second decimal place. For example:
If the USD/JPY moves from 110.50 to 110.51, it has moved one pip.
 - If the USD/JPY moves from 110.50 to 110.52, it has moved two pips.



What is Spread?

- In FX (forex) trading, the "spread" refers to the difference between the buying (bid) and selling (ask) prices of a currency pair. It represents the cost of executing a trade and is typically measured in pips. The spread is one of the primary ways in which brokers make money in the forex market.

Bid	Ask
2.0893	2.0895

= 2 Pip

- Here's a breakdown of the components of the spread:

Bid Price:

- The bid price is the price at which a trader can sell a currency pair. It is the lower of the two prices displayed for a currency pair.

Ask Price:

- The ask price is the price at which a trader can buy a currency pair. It is the higher of the two prices displayed for a currency pair.

- **Spread:**

- The spread is the difference between the ask and bid prices. Mathematically, it can be expressed as:
 $\text{Spread} = \text{Ask Price} - \text{Bid Price}$

- The spread is measured in pips. For example, if the EUR/USD currency pair has a bid price of 1.1200 and an ask price of 1.1205, the spread is 5 pips.

Mechanics of Forex

Forex Broker:

A forex broker is an intermediary or a financial institution that facilitates the buying and selling of currencies on the foreign exchange (forex) market. Forex brokers provide a platform for traders, whether institutional or retail, to access the forex market and execute trades. They play a crucial role in connecting buyers and sellers and ensuring the smooth functioning of currency trading.



TYPES OF ORDERS

Order Types in Forex Trading

- In forex trading, various order types are used to execute trades and manage positions. Each order type serves a specific purpose, allowing traders to enter and exit the market under different conditions. Here are the common order types in forex trading:

1. Market Order:

A market order is an instruction to buy or sell a currency pair at the best available price in the market. It is executed immediately, and the trade is filled at the current market price. Market orders are used when traders want to enter or exit a position quickly.

2. Limit Order:

A limit order is an order to buy or sell a currency pair at a specified price or better. It is used to enter a trade at a specific price level or to take profits at a predetermined level. The order will only be executed if the market reaches the specified price.

3. Stop Order:

A stop order, also known as a stop-loss order, is used to limit losses or protect profits. It becomes a market order when the specified price is reached. A sell stop is placed below the current market price, while a buy stop is placed above the market price.

4. Take-Profit Order:

A take-profit order is used to automatically close a trade when a specified profit level is reached. Like a limit order, it is placed at a predetermined price above the current market price for a sell position and below the market price for a buy position.